HIT FISCAL DEFICIT

The Right Balance

Despite the pandemic driving up fiscal deficit, the Centre did not resort to monetising it, remaining firm on its goal to cut down on off-budget funding, increasing revenue

WITH THE POST-COVID RECOVERY IN FULL SWING, MAINTAINING THE country's fiscal balance is a must. Union finance minister Nirmala Sitharaman was justly applauded for not hitting the panic button or taking drastic fiscal management measures during the pandemic, even though it pushed up the fiscal deficit—the difference between government revenue and expense as a percentage of the GDP that also indicates the level of borrowings by the government—to its highest point in a decade. It was 9.3 per cent in FY 2021, 6.71 per cent in FY 2022 and 6.4 per cent in FY 2023—much higher than the previous decade's range of 4-4.5 per cent. To aid an ailing economy, the temptation was great to resort to higher fiscal imbalance by monetising the growing fiscal deficit through, say, printing currency and artificially stoking demand. The bold choice not to do that is helping control inflation in the economy.

The goal for finance ministry officials is to bring deficit numbers to less than 4.5 per cent by FY26. Post Covid, states were allowed to borrow more, but it was tied



Illustration by **RAJ VERMA**

ister launched comprehensive welfare measures to address their basic needs, including building toilets, providing cheaper gas connections and constructing houses for them.

Two major structural changes that Modi introduced in the finance sector stood out: One, he pushed through the landmark Goods & Services Tax (GST) to facilitate ease of doing business across the country. Two, he introduced the Insolvency and Banking Code (IBC) as one of the measures to address the massive crisis that banks were facing as their non-performing assets or NPAs ballooned to Rs 10.2 lakh crore. However, his shock decision in 2016 to demonetise high-value currency overnight to erase black money proved controversial and set back economic growth. The public had to endure the ensuing hardship and, worse, the Reserve Bank of India in August 2018 revealed that 99.3 per cent of the demonetised currency totalling Rs 15.3 lakh crore had returned to the banking system. In sharp contrast, his welfare schemes for the poor proved to be a huge success, so much so that he was able to convert the

MISS PRIVATE INVESTMENT

A Sluggish Pace

There is a need for broad-based private investment for sustained economic growth

PRIVATE INVESTMENT, ALONG WITH CONSUMPTION, government spending and exports, is a key component of growth. After the NDA came to power in 2014, private investment increased initially, but soon began to slow down. Total value of completed investment projects in the private sector rose from Rs 2.2 lakh crore in 2013-14 to Rs 3.9 lakh crore in 2016-17, shows CMIE data.

The government announced two key reforms in its second term to drive private investment. One was the reduction of base corporate tax in September 2019 to 22 per cent from 30 per cent for companies that do not seek exemptions, and 25 per cent from the earlier 35 per cent for those that receive exemptions. For new manufacturing firms, tax was cut to 15 per cent from 25 per cent. The other was the production linked incentive (PLI) scheme to enable domestic companies to boost manufacturing capabilities. With an initial outlay of Rs 1.97 lakh crore, PLI